WEEKEND READING

THE PRICE OF INTELLIGENCE

When AI gets cheaper, money gets dearer, and the real world becomes the moat.

A synthesis of 13D, Greed & Fear and Bits & Pieces

7 AUGUST 2026

The short version

The market is being pulled in two directions: cheapening intelligence can expand demand, but fiscal strain, physical infrastructure and geopolitical friction can make capital scarcer and risk more expensive. The winner may not be the most visible AI model. It may be the business that owns a real bottleneck, keeps its balance sheet resilient and turns new capability into repeatable cash flow.

THE WEEKEND THESIS

The AI trade is becoming an economics trade.

The three papers land on a useful contradiction. The technology is racing toward abundance: more capable models, lower usage costs, more open weights and more agents. Yet the things needed to run it - electricity, chips, cables, cooling, capital and political permission - are finite. A cheaper digital brain does not remove the cost of the physical world around it.

48%	2.40%	60	29%
Chinese-model share of OpenRouter traffic in late June, per 13D	US 10-year inflation-linked Treasury yield, per Greed & Fear	Approximate cable-repair ships worldwide, per 13D	SOX decline from 22 June peak to the reported trough

The central investment error would be to treat these as separate stories. They are one story: as the output of intelligence becomes less scarce, the return pool has more places to migrate.

IF THIS CHANGES...	THE PRESSURE MOVES TO...	THE INVESTOR SHOULD ASK...
Model costs fall	Distribution, proprietary data, workflow ownership and compute efficiency	Can this company charge for an outcome, not just access?
Rates stay high	Balance sheets, leasing, capex discipline and cash conversion	Does the projected return survive a higher discount rate?
Networks fragment	Cables, grid equipment, local capacity and trusted jurisdictions	Is the apparent moat actually a critical physical dependency?

A USEFUL FRAME

AI can still be a huge economic opportunity even if the most obvious AI products earn weak margins. Adoption and profitability are different questions. The reports make that distinction unavoidable.

1. INTELLIGENCE IS BEING REPRICED

The product may be cheap. The workflow may not be.

13D argues that China is pursuing AI as open, widely deployed infrastructure rather than a narrowly monetised subscription product. Its central claim is not merely that Chinese models are improving. It is that the industry is being pushed toward a lower unit price for intelligence, which changes who can capture the value.

60%	1 pt	$0.04
13D estimate: DeepSeek V4 Flash was cheaper than GPT-5.6 Luna-Max after a price cut	Reported gap in the Artificial Analysis value quadrant	13D comparison: DeepSeek V4 Pro task cost versus $1.80 on Claude Opus 4.8

These are reported comparisons, not independently verified facts. But the direction matters even if the precise figures change: when a useful model can be downloaded, tuned and run close to the user, the value proposition shifts from selling tokens to solving a real task better than anyone else.

POTENTIAL WINNER	WHY IT COULD WIN	WHAT COULD BREAK THE THESIS
Workflow owner	Owns the customer relationship, context and accountability for an outcome	Generic assistants replace the workflow or the customer switches easily
Efficient infrastructure	Sells scarce compute, power, connectivity or cooling into growing usage	Oversupply, weak contracts or capital intensity erode returns
Open ecosystem enabler	Benefits when a broad developer base adopts cheaper models	The ecosystem fragments or value is captured upstream

THE KEY DISTINCTION

Abundant intelligence is likely to increase usage. It does not automatically preserve the profit margin of the company selling the intelligence.

A 13D datapoint worth holding lightly: it cites an estimate that each 10% fall in token price lifts consumption by 12% to 18%. That is the bull case for infrastructure demand - but only if the owner of the infrastructure has pricing power and disciplined capital spending.

2. MONEY REMEMBERS IT HAS A PRICE

The long bond is not an academic footnote.

Greed & Fear focuses on a different scarcity: willing providers of long-term capital. Its argument is that elevated real yields, rising fiscal demands and heavy Treasury funding needs are raising the hurdle rate for every long-duration story - including AI. When the discount rate rises, distant cash flows become less valuable today.

96.2%	$739bn	55%	190bp
US net interest plus entitlements as a share of government receipts, annualised	US net marketable borrowing expected in the reported current quarter	Implied bill funding share of that borrowing, per the report	Gap reported between US 10-year yield and nominal GDP growth

The numbers are a snapshot, not a forecast. The portfolio implication is more durable: a business that needs constant cheap financing deserves a different valuation from one that can self-fund through a downturn.

HIGHER-FOR-LONGER TEST	A ROBUST ANSWER	A FRAGILE ANSWER
Capex	Returns are measured against full lifecycle cost, including replacement spending	Growth is framed before depreciation, financing and maintenance
Debt	Maturities are spread out and interest is covered by current cash flow	The story needs friendly refinancing or ever-lower spreads
Valuation	A reasonable outcome still works at a tougher discount rate	Most value sits beyond year five and depends on perfect execution

A FAMILIAR MARKET PATTERN

Greed & Fear also records a 29% decline in the SOX from its recent peak to the reported trough. Sharp losses do not prove a secular thesis wrong. They do reveal how quickly a crowded, capital-heavy theme can become sensitive to changing expectations.

3. THE REAL WORLD IS THE MOAT

The cloud still sits on land, draws power and crosses oceans.

The most investable insight in the 13D note may be its least glamorous: digital growth becomes physical infrastructure demand. Data centres move toward cheap power and land; cables follow data centres; policy and geopolitics redraw routes; and repairs can matter as much as new construction.

$4-5bn	25%	2bn	$240bn
Annual flow into new cables, according to 13D	Approximate share of repair ships reported to be more than 40 years old	Structures covered by MSCI physical-climate-risk capability after the reported acquisition	Projected 2026-30 GDP loss for France cited by 13D climate section

BOTTLENECK	WHAT IS EASY TO MISS	WHERE TO LOOK FOR EVIDENCE
Power and cooling	Cheap power is also a location, permitting and grid problem	Contracted power, curtailment exposure, time to energise
Subsea connectivity	Redundancy fails if routes share a chokepoint or repair constraint	Route diversity, landing stations, maintenance fleet, insurance
Climate resilience	Physical risks are nonlinear and can interrupt logistics and production	Asset-level hazard maps, insurance cost, contingency inventory

This does not make every grid or cable company a bargain. It does argue for moving beyond the simple question, 'How much AI exposure does it have?' The more useful question is, 'What scarce problem does it solve when AI use rises?'

> THE FRAGILE NETWORK LESSON
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> More capacity is not always more resilience. A system with many assets exposed to the same chokepoint can look diversified until stress arrives.

4. A DIFFERENT MAP OF RISK AND OPPORTUNITY

Technology demand is real. So is cycle risk.

The reports offer a useful antidote to a false choice between "AI is a bubble" and "AI changes everything." Both can be true at different layers. Singapore is cited by Greed & Fear as benefiting from AI-capex-led manufacturing and export demand. 13D sees open models accelerating adoption. At the same time, both sources flag volatile technology markets, crowded positioning and the possibility that lower prices pressure the most visible suppliers.

5.7%	91.2%	17-18%	4.5%
Singapore real GDP growth cited for Q2 2026	Singapore electronics-export growth cited for the three months to June	India bank credit growth range cited by Greed & Fear	Chinese consumer-staples dividend yield cited by 13D in late June

This is not a shopping list. It is a reminder that the value chain is broader than the most crowded names, and that cyclical markets reward a price discipline as much as a technological insight.

DO NOT CONFUSE...	WITH...	PRACTICAL ANTIDOTE
A powerful trend	A guaranteed return for its early leaders	Track margin, reinvestment and valuation separately
Falling model price	Falling total industry profit	Follow usage, infrastructure utilisation and cash conversion
A market correction	A reason to abandon process	Re-underwrite the thesis and balance sheet; do not average blindly

FROM BITS & PIECES

The investor-wisdom compendium contributes the right temperament: process over excitement, price versus value, and the humility to change when facts change. Its best use is not as a trading signal, but as a checklist against self-deception.

The most interesting opportunities often arise when a good business and a good story come apart. A correction can create that gap; it can also expose a flawed balance sheet. The work is to tell the two apart.

INVESTMENT IMPLICATIONS

Build a barbell of economics, not a basket of buzzwords.

A sensible response to this week's cross-currents is not to predict a single winner. It is to separate the portfolio into distinct economic roles and demand evidence from each one.

ROLE IN A PORTFOLIO	WHAT IT OWNS	WHAT TO MEASURE
Productive AI exposure	A customer workflow, proprietary data or distribution that turns intelligence into outcomes	Retention, pricing, gross margin, customer ROI and switching cost
Picks-and-shovels exposure	Power, grid, cooling, connectivity, semiconductor or equipment capacity	Backlog quality, utilisation, return on invested capital and capex discipline
Resilience and income	Cash generation, asset backing, shorter-duration earnings or defensive demand	Free cash flow, payout coverage, debt maturities and inflation linkage
Optionality	A small, high-upside position where the downside is survivable	Position size, catalyst, funding need and explicit exit criteria

What this suggests in plain English:

- Pay less for a narrative and more for evidence that a company can earn a return on the capital it deploys.
- Treat model vendors, cloud owners, equipment suppliers and adopters as different businesses with different sources of risk.
- Give a premium to balance-sheet flexibility when real rates, currency markets and geopolitics are noisy.
- Do not confuse a drop in a popular share price with a margin of safety. Re-check the business, the debt and the competitive position.
- Watch physical constraints. They can create durable value, but only when contracts, regulation and execution translate scarcity into cash flow.

> **THE SOBER CONCLUSION**
>
> Cheap intelligence is a tailwind for the economy. It is not a blank cheque for the companies most associated with it.

A SUNDAY NOTEBOOK

Five questions worth carrying into the week

The final source is a collection of investment principles. Rather than repeat its quotations, this synthesis turns their shared wisdom into questions that can travel across strategies and time horizons.

1

PRICE IS NOT VALUE

If this company delivers the optimistic operating outcome, what return is implied from today's price? If the answer is ordinary, what exactly is being paid for?

2

FUNDAMENTALS AND EXPECTATIONS ARE DIFFERENT

What must be true for this position to work - and which of those assumptions are already widely believed and embedded in the share price?

3

DO NOT AVERAGE DOWN WITHOUT NEW WORK

If the price falls 30%, would we buy more because the evidence improved relative to the price, or simply because the entry point looks cheaper?

4

TIME IS A RISK FACTOR

Can the business finance its path to value creation if capital remains costly for longer than expected?

5

EDGE IS A MISPRICING, NOT A MOOD

Where does the current narrative understate a real bottleneck - or overstate a future cash flow - and what evidence would prove us wrong?

ONE SENTENCE TO KEEP

The best work this weekend is not deciding whether to be bullish or bearish on AI. It is deciding which cash flows become more valuable when intelligence is abundant but capital and infrastructure remain scarce.

NOTES ON EVIDENCE

What this synthesis is - and is not

This is an editorial synthesis of three user-provided publications, intended for private weekend reading. It is not investment research, a recommendation, a solicitation or a substitute for checking the full source material and current market data.

SOURCE	WHAT IT CONTRIBUTED	HOW IT IS USED HERE
13D, What I Learned This Week, 6 Aug 2026	AI open-weight thesis; cables, climate, China and market commentary	Attributed views and reported figures; forecasts treated as scenarios, not facts
Jefferies, Greed & Fear, 6 Aug 2026	US fiscal and real-rate concerns; Asian macro and market observations	Reported snapshots used to frame discount-rate and cycle risk
CLSA, Bits & Pieces, 7 Aug 2026	Compendium of investment and behavioural principles	Used only as a high-level prompt for the process and questions section

Important caveats

- All dates, prices, shares and projections are as stated in the supplied reports. They may be stale, contested, selectively framed or based on third-party sources.
- Several claims about model capability, price and adoption are analyst or commentator interpretations. They should be verified before being used for an investment decision.
- This note deliberately does not reproduce long passages from the source material. The source reports contain their own disclosures, risks and limitations.
- The useful output is a sharper set of questions - not a prediction that any one technology, country or company must win.

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